

WHAT TO DO WHEN YOU LEAVE YOUR EMPLOYER

In today's working world, most people no longer stay at their jobs for their entire working careers. As a matter of fact, according to a survey done on Baby Boomers by the Bureau of Labor Statistics, the average worker has had 12.3 different jobs between the ages of 18 and 52, and that number is only expected to keep growing for Millennials and Gen Z.² Each time you switch jobs, it's quite common to contribute to a new retirement plan as well. When you're leaving an employer whose plan you have contributed to, you want to ensure that you take your money with you when you leave so you can continue saving effectively for retirement. This is called a rollover.

When you leave a job, you can roll over your money in your former employer's plan into an independently established rollover IRA at a brokerage firm of your choosing. The nice thing about having the money in your own IRA is that you can then invest more cost-effectively with much lower fees and with more transparency than your former employer's plan may have had. Moving your retirement savings into an account outside of your former employer will give you access to the entire stock market. Plus, many employers charge maintenance fees for maintaining former employees' accounts, and these fees can add up, so you definitely don't want to leave your money there.

What about rolling your money over into your new employer's plan?

Many companies will allow you to do a retirement plan rollover, where you can move your retirement savings from your former employer's plan into the new employer's plan. However, if you are changing jobs, it's better to move your retirement savings into your own IRA account with a brokerage where you have access to the entire stock market and potentially much lower fees as opposed to moving your money into your new employer's plan.

It's important to keep in mind that transferring the funds into a non-retirement investment account will be considered an early withdrawal and those distributions, if made from pre-tax accounts, will be subject to income taxes and an early-withdrawal penalty. Be sure to review the IRS website ([IRS.gov](https://www.irs.gov)) for qualification requirements and specifics on rules, restrictions,